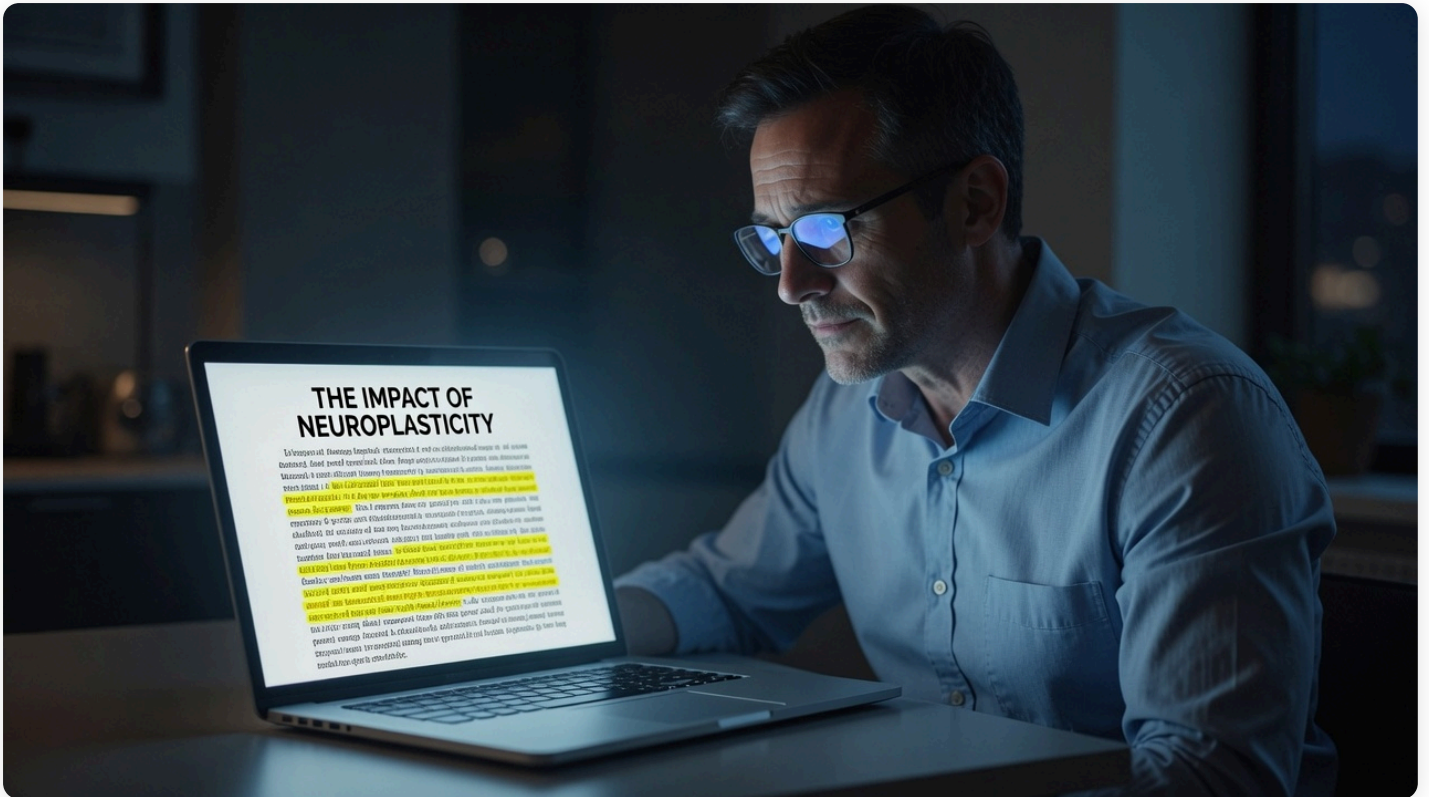


The Research Confirmed It

After the loss, Mike swore he would never guess again: he would do the work. Ten sources minimum. A fourteen-tab workbook. A nine-page thesis. It looked exactly like rigor. It was the most sophisticated mistake he had ever made, and the harder he worked, the harder it was to see.

Sam Vishwas · Behavioral Finance · Confirmation Bias & Motivated Reasoning



I told Sarah I was done guessing.

After what happened with SentinelForge, I stopped pretending I had some special insight. The loss had been large enough to force an honest conversation with myself. I was not going to make emotional decisions anymore. I was going to do the work.

I built a new system. Separate sections in Notion for academic papers, earnings transcripts, competitor analysis, patent filings, and macro context. I gave myself a rule: no position until I had read at least ten substantial sources and built a model that held up on paper. I even created a simple scoring sheet for each piece of information — relevance, credibility, recency.

For the first few days, it felt clean. I was finally behaving like the investor I had always claimed to be.

The idea was ForgePath Technologies. They made industrial automation equipment with a new software layer that looked genuinely differentiated. I spent almost two weeks on it. One evening, I found a university paper on the underlying architecture. It was dense, but as I read through the methodology section, something clicked. The approach they were describing matched exactly what I had seen work in my own field. I highlighted three paragraphs and sat back. For a moment, I just stared at the screen. This was it. This was the kind of edge that came from real work, not from hoping or guessing.

I told myself I would not fall in love with the idea. This time, the evidence would decide.

A colleague mentioned a bearish report that had come out a couple of days earlier. I found it quickly. The first two paragraphs raised concerns about slowing enterprise spending. I kept reading, waiting for the flaw. On page three, the author used an outdated growth rate from two quarters ago. That was enough. I closed the tab. If they could not even get the basic numbers right, why waste more time?



I kept reading, waiting for the flaw. One outdated number on page three was all the excuse I needed to close the tab.

A few days later, I saw a tweet from an analyst I generally respected. He was pointing out that one of ForgePath's larger customers had just announced delays on a major project. I read the first few replies, saw someone linked to the company's own press release that downplayed the delay, and saved the thread. I told myself I would come back to it when I had more time.

I did not come back.

By the time I entered the position, my 14-tab workbook and nine-page thesis felt like proof that I was finally doing this properly. When Sarah asked how Mike was feeling one night, I told her the truth.

"Much better," I said. "At least this time, whatever happens won't be because I didn't do the work."

The market's initial reaction was muted. Then the next earnings came in, and guidance was softer than the bullish scenarios I had modeled. The stock drifted lower over the following weeks.

I did not panic. I reviewed my work. Most of the sources I had relied on were still directionally correct. The macro environment had simply worsened faster than anyone expected. I told myself I had done the research. The outcome was just unlucky.

It took me longer than it should have to admit what had actually happened.

I had not gathered evidence. I had assembled a jury that already knew the verdict it wanted to deliver.

What Actually Happened?

The process looked rigorous on the surface. In reality, it was systematically biased from the beginning.

I gave confirming information far more time and attention than contradictory information. I applied higher standards of scrutiny to anything that challenged the thesis than to anything that supported it. When I encountered disconfirming data, I found ways to minimize it — "already priced in," "outdated," "not material" — without applying the same skepticism to the bullish case.

The 14-tab spreadsheet did not fail because the math was wrong. It failed because of what I chose *not* to put in it with equal weight and attention. The research process had become a sophisticated mechanism for protecting a conclusion I had already started to favor.

This was not laziness. It was the opposite. I worked harder than I had on any previous idea. That is what made the bias so difficult to see.

The Science Behind It

Confirmation bias is not a failure of intelligence. It is a failure of process that intelligence often makes it harder to detect.

Psychologist Peter Wason demonstrated the basic mechanism in 1960. Participants were given the number sequence 2-4-6 and asked to discover the underlying rule. Most people evaluated only sequences that *confirmed* their initial hypothesis instead of trying sequences that could disprove it.

Charles Lord, Lee Ross, and Mark Lepper showed something even more unsettling in 1979. When people with opposing views on capital punishment read the same set of mixed studies, both sides became *more* convinced they were right. This is called **biased assimilation** — we process identical information differently depending on what we already believe.

Emily Pronin identified the **bias blind spot**: people are quite good at detecting bias in others but consistently fail to see it in themselves, especially when they believe they are being objective.



More information can increase confidence faster than it increases accuracy — especially when it is filtered through a preference you have already formed.

Ziva Kunda showed that motivated reasoning has limits: we can only reach conclusions we can construct a seemingly reasonable justification for. That is exactly why elaborate research documents and detailed models can actually *strengthen* confirmation bias — they supply the justification.

Keith Stanovich and Richard West have shown that **myside bias** is largely independent of cognitive ability. Intelligent people do not do less of this. They often do it more elaborately.

And Charles Taber and Milton Lodge documented **disconfirmation bias** — the tendency to spend more cognitive effort counter-arguing information that challenges our beliefs than supporting information that aligns with them. This is exactly what happened when I spent extended time on the bullish university paper but quickly dismissed the bearish report after finding one outdated number.

The uncomfortable truth is that more information can increase confidence faster than it increases accuracy — especially when that information is filtered through an existing preference.

Your Behavioral Takeaway

Confirmation bias is hardest to fight when it feels like discipline. The following tools are designed to interrupt the process at different stages.

The Pre-Research Falsification Test: Before you begin deep research on any idea, write down the specific evidence that would prove your emerging thesis wrong. Make it concrete and measurable — for example, "If the next two earnings reports show organic revenue growth below 6% and declining cash flow from operations, the core thesis is invalid." Write this *before* you open the first research tab.

The Balanced Research Log: Create a two-column document. Left column: the strongest available arguments that support the thesis. Right column: the strongest available arguments that challenge it. You cannot move forward until both columns contain the best arguments on each side, stated in steelman form.

The External Red Team Protocol: Do not rely solely on yourself to argue the opposite case. Either ask someone whose judgment you respect, and who has no financial stake in the idea, to review your thesis and actively look for flaws — or write the bear case as if you were going to publish it under your own name and be judged on its quality.

The Kill-Criterion Rule: Before entering the position, define the exact observable condition that will force you to exit — not based on price movement alone, but on evidence that invalidates your thesis. Tool 1 tests whether your reasoning was wrong; Tool 4 defines what you will actually do about it.

The goal is not to eliminate bias. It is to make it much harder for your own intelligence to quietly work against you.

Once I learned to defend my ideas with research, I faced a different temptation: trying to recover what I had already lost. That is a story for another time.

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Sam Vishwas is the founder of OTS Ullu, a FinTech platform built to help everyday investors make smarter, psychology-aware decisions in the markets. With a deep passion for behavioral finance and more than a decade of experience in technology and investing, Sam writes to bridge the gap between cutting-edge academic research and practical, real-world wealth building.

He believes the greatest edge any investor can have is not better information; it is better self-awareness. This six-part series, *The Mind Against the Market*, is part of his mission to expose the invisible forces that quietly destroy most portfolios.

CREDITS

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